Chapter 2: The Macroeconomic Production Possibilities Frontier & Capital Deepening

Principles of Macroeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 2: The Macroeconomic Production Possibilities Frontier & Capital Deepening, benchmarked to standard principles curriculum.

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1 Consumer vs. Capital Goods Trade-Off

A nation's operating position along its macro PPF dictates long-run secular growth:

$$\text{Investment } (I) \implies \Delta K > 0 \implies \text{Outward Shift of Potential GDP } (Y^*) \tag{1}$$

2 Output Gaps vs. Secular Growth

Operating inside the frontier represents a recessionary gap ($Y < Y^*$) with idle labor. Recovery restores capacity; outward frontier expansion requires structural capital deepening or total factor productivity gains.